

STATE RESORT PROGRAMMES, TWENTY YEARS ON

The plan and the beach

What North and West Africa's state resort programmes promised, what they built, and what the record says to the Red Sea and Mediterranean giga-projects now under way

SIX NUMBERS FROM THE RECORD

c.15,000

beds in Morocco's six Plan Azur stations in 2023, against 110,786 in the 2008 station plans

2.7%

of the 58,540-bed Vision 2020 target for the Azur stations delivered by the end of June 2015, according to the Cour des comptes

65%

of approved hotel rooms reported as constructed in Egypt's four TDA zones at January 2016: 140,004 of 215,521

125%

Yasmine Hammamet's delivery against plan: about 30,000 beds on 277 ha, against 24,000 planned, on figures compiled by Wikipédia

72%

room occupancy at El Gouna on Egypt's Red Sea coast in FY2023, near Hurghada, whose airport handled 9.6 million passengers in 2024

51%

of the 1,570 Azur beds counted against the Vision 2020 target by mid-2015 were in villas or a hotel residence. Heirstone analysis

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ABOUT THIS REPORT

Heirstone Consulting advises governments, tourism authorities, master developers, sovereign funds and hotel investors across the Middle East and Africa. This report uses public sources current in 2026: official statistics, audit bodies, company reports, developer and agency disclosures, and the business press of the countries concerned.

Many Moroccan station figures come from the press and change from one year to the next. Where they conflict we give the range, name the source and, when a single figure is needed, use the more conservative one.

Figures we have derived, such as delivery ratios, shares and values per bed or per square metre, are labelled Heirstone analysis and shown with their inputs. Local currencies are converted to US dollars at the World Bank's annual average rate for the year of the figure.

Throughout, **beds**, **rooms** and **keys** are kept as each source publishes them. A hotel room usually holds about two beds.

COUNTRIES COVERED

Morocco, Tunisia, Algeria and Egypt in North Africa; Senegal, Cabo Verde and Mauritius in Sub-Saharan Africa and the islands; Saudi Arabia as the Gulf comparator.

WHAT WE FOUND

The size of a state resort plan told us little about what would be built. The stations that filled had airline seats, hotels that opened first and an owner able to wait.

We compared state resort programmes in Morocco, Tunisia, Egypt, Senegal, Cabo Verde, Mauritius and Algeria with today's Saudi and Egyptian giga-projects. The record runs from a station that outgrew its plan by a quarter to one with no beds 25 years after launch. Land, roads and permits were the parts states delivered most reliably; demand depended on airlines and operators they did not control.

1 The honest scorecard runs from zero to 125%.

Yasmine Hammamet in Tunisia built about 30,000 beds against 24,000 planned, on figures compiled by Wikipédia from the Tunisian press. Egypt's Tourism Development Authority (TDA) reported 140,004 hotel rooms constructed in its zones by 2016, 65% of those approved. Morocco's Plan Azur held about 15,000 beds in 2023 against 110,786 in its 2008 station plans. Plage Blanche, planned for 30,000 beds, has none.

2 Morocco's stations stalled when their master developers left, and restarted under state capital.

Between 2008 and 2012 the developers of Saïdia, Lixus and Taghazout failed, withdrew or were replaced. The CDG and FMDT company at Saïdia had invested MAD 1.7bn (US\$177m) by 2019; state-linked shareholders own 75% of Taghazout Bay's developer, which has opened seven hotels since 2015.

3 Airline seats separate the resorts that fill from those that do not.

In FY2023 El Gouna, near Hurghada, whose airport handled 9.6 million passengers in 2024, ran at 72% occupancy, 30 points above a sister resort near a far smaller airport. Agadir's traffic rose 54% from 2019 to 2024 as Taghazout Bay opened. Saïdia, with no direct flights from its core markets, fills for about two months a year.

4 When hotels stall, plans drift towards second homes.

The 2008 Azur plans were 32% non-hotel beds; 51% of the beds counted against the Vision 2020 target by mid-2015 were in villas or a hotel residence. Homes sell where hotels already work: El Gouna sold 289 in FY2024 at an average US\$5,287 per m2.

5 Two giga-projects plan their own airports.

The Red Sea opened its airport and first resort in 2023 and plans 11% of units as residences. Ras El Hekma, planned as a city, began with a US\$35bn transaction in which Egypt keeps 35%; its masterplan includes a new international airport, and two hotels were announced in 2026.

THE RECORD AT A GLANCE

Delivered against planned, latest count

Yasmine Hammamet beds, recent	125%
Egypt TDA, four zones rooms reported as built, 2016	65%
Mauritius schemes projects completed, 2023	56%
Taghazout Bay beds, 2023	21%
Saïdia beds, 2023	20%
Plan Azur, six stations beds, 2023	11-14%
Algeria's tourism zones zones with works, 2026	11%
Mogador and Lixus beds, 2023 and 2015	4%
Plage Blanche beds, 2023	0%

24

programmes, stations and zones in the Heirstone State Resort Ledger, across eight countries

CHAPTER 1



01

The honest scorecard

Delivered against planned is the one measure every programme can be held to. Few programmes publish it.

31.6

beds per hectare in the 2008 Plan Azur station plans, against about 108 built at Yasmine Hammamet. **Heirstone analysis.**

State resort programmes are announced in hectares, investment and visitor targets. Plan Azur was presented in January 2008 as 70,000 beds and MAD 50bn (about US\$6.5bn at 2008 rates) across six stations. Egypt's Tourism Development Authority had assigned 290 million m² of land to projects by 2016. Algeria counts 238 classified tourism zones and sites. None of these figures says how many guests can sleep there.

We use a plainer measure: beds or rooms delivered against beds or rooms planned, at a stated date, alongside the years from launch to the first opening and the number of times the master developer changed. The Heirstone State

Resort Ledger applies it to 24 programmes, stations and zones in eight countries, from Port El Kantaoui, studied from 1971, to the Saudi Red Sea and Ras El Hekma.

Units are kept as published: beds in Morocco and Tunisia, approved and constructed rooms for Egypt's TDA zones, rooms in Senegal's new zones, keys in Saudi Arabia, units sold in Mauritius and zones in Algeria. Ratios are comparable within a programme and indicative across them.

The spread is wide. On the latest counts, delivery runs from nothing at Plage Blanche to 125% at Yasmine Hammamet, and the time from launch to first opening from six years at The Red Sea to 16 at Lixus.

WHERE THE PROGRAMMES ARE

Twenty-four programmes, stations and zones, from the Cabo Verde islands to the Saudi Red Sea

EXHIBIT 1

Outcomes vary as much within countries as between them: Morocco alone has partly built, single-resort and unbuilt stations

Heirstone outcome type by programme, station or zone, latest count (Mauritius not shown)

● Built beyond plan ● Mostly built (60% or more) ● Partly built (15 to 60%) ● One resort, station unbuilt (under 15%) ○ Zoned, not built
● Residential programme ● Operating, no published target ◆ Comparator, too early to score



Source: Heirstone State Resort Ledger 2026 (Exhibit 2). Natural Earth. Station positions are approximate (within about 5 to 20 km); Egyptian points mark TDA zones, not single resorts; markers for Senegal's Pointe Sarène, Mbodiène and Joal-Finio coincide with Saly at this scale. Heirstone analysis.

Six outcome types, and two groups we do not score

We sorted each row of the Ledger by what it has delivered against its first published target. Types describe outcomes only; the chapters that follow look for causes. Where no original target was published, we say so and leave the ratio blank.

● Built beyond plan	Yasmine Hammamet: about 30,000 beds against 24,000 planned.
● Mostly built (60% or more)	Egypt's TDA zones in the Red Sea governorate (73% of approved rooms reported as built) and South Sinai (61%).
● Partly built (15 to 60%)	Saïdia (20% of its 2008 plan), Taghazout Bay (21%) and Ain Sokhna (40% of approved rooms).
● One resort, station unbuilt (under 15%)	Mazagan, Mogador and Lixus: a resort and a golf course each, on station plans of 7,576 to 12,000 beds.
○ Zoned, not built	Plage Blanche (0 of 30,000 beds), most of Algeria's 238 zones and Senegal's Mbodiène and Joal-Finio.
● Residential programme	Mauritius's schemes: 5,396 homes sold to buyers from 76 countries by 2023.
● Operating, no published target	Djerba-Zarzis, Port El Kantaoui, Saly, Sal and Boa Vista: large and operating, with no published original target.
◆ Comparator, too early to score	The Red Sea, AMAALA and Ras El Hekma, launched 2017 to 2024.

THE LEDGER

The Heirstone State Resort Ledger

One row per programme, station or zone. First published target is the earliest station-level figure we found (Plan Azur: January 2008 plans). Years to first opening count from the programme launch shown; Plan Azur concessions were awarded in 2002 to 2007, so years from award are two to six fewer. n/p: not published; n/v: not verified; n/a: not applicable.

EXHIBIT 2

Only one programme in the Ledger built more than it planned; three Moroccan stations have one resort each on plans of up to 12,000 beds

PROGRAMME, STATION OR ZONE	LAUNCH	FIRST PUBLISHED TARGET	LATEST TARGET	DELIVERED (AS OF)	DELIVERED VS FIRST	FIRST OPENING (YEARS)	DEVELOPER CHANGES	OUTCOME
MOROCCO, PLAN AZUR (BEDS)								
Saïdia	2001	29,610	16,000	6,000 (2023)	20%	2009 (8)	2	● Partly built
Taghazout Bay	2001	21,000 hotel	11,000 (6,000 hotel)	c.4,500 (2023)	21%	2015 (14)	2	● Partly built
Mazagan	2001	7,576	8,000	1,000 (2023)	13%	2009 (8)	1 (parent)	● One resort
Mogador	2001	10,600	10,500	400 (2023)	4%	by 2013 (12)	n/v	● One resort
Lixus	2001	12,000	7,926	450 (2015)	4%	2017 (16)	1	● One resort
Plage Blanche	2001	30,000	30,000	0 (2023)	0%	none (25+)	n/v	○ Not built
Six stations	2001	110,786	58,540 (2015)	c.12,350-15,000 (2023)	11-14%	2009 (8)		
TUNISIA (BEDS)								
Yasmine Hammamet	late 1990s	24,000	n/a	c.30,000 (recent)	125%	n/v	n/a	● Beyond plan
Port El Kantaoui	1971	n/p	n/a	340-berth marina, golf	n/a	1979, port (8)	n/a	● Operating
Djerba-Zarzis zone	1960s	n/p	n/a	53,114 in region (2023)	n/a	1954, Club Med	n/a	● Operating
AFT, all stations	n/v	n/a	n/a	170,000 created (AFT)	74% of stock	n/a	n/a	
EGYPT, TDA ZONES (HOTEL ROOMS APPROVED AND REPORTED AS CONSTRUCTED, JANUARY 2016)								
Red Sea governorate	1991	105,977	n/a	77,720	73%	pre-TDA	n/a	● Mostly built
South Sinai	1991	82,614	n/a	50,464	61%	pre-TDA	n/a	● Mostly built
Ain Sokhna	1991	25,286	n/a	10,194	40%	n/v	n/a	● Partly built
North West Coast (TDA)	1991	1,644	n/a	1,626	99%	n/v	n/a	● Mostly built
SUB-SAHARAN AFRICA, INDIAN OCEAN AND ALGERIA								
Saly, Senegal (SAPCO)	1975	n/p	n/a	10,000 beds	n/a	1984 (9)	n/a	● Operating
SAPCO new zones (three)	2004	7,850 rooms	n/a	one hotel listed	near 0%	n/v	n/a	○ Not built
Sal, Cabo Verde	1967	n/p	n/a	58.5% of guests (2024)	n/a	1967	n/a	● Operating
Boa Vista and Maio	2005	n/p	n/a	24.1% of guests (2024)	n/a	n/v	n/a	● Operating
Mauritius schemes	2002	183 projects	n/a	103 done; 5,396 units sold	56%	before 2008	n/a	● Residential
Algeria zones (ZEST)	n/v	238 zones	n/a	25 with works (2026)	11%	n/a	n/a	○ Not built
COMPARATORS (HOTEL KEYS)								
The Red Sea, Saudi Arabia	2017	8,000 rooms (2030)	n/a	11 resorts (Jul 2026, press)	too early	2023 (6)	0	◆ Too early
AMAALA, Saudi Arabia	2018	3,000 rooms	c.1,600 keys	phase one 2025/26	too early	2025 (7)	0	◆ Too early
Ras El Hekma, Egypt	2024	170.8m m2	n/a	two hotels announced (2026)	too early	n/a	0	◆ Too early

Source: Bladi.net (Jan 2008); TelQuel (Nov 2013, Jan 2017, citing the Cour des comptes); Médias24 (Oct 2014, Jun 2023); SAPST (Feb 2022); Wikipédia (Yasmine Hammamet, Port El-Kantaoui, Saly Portudal); INS Tunisia/ONTT (2023); AFT; Invest-Gate citing TDA (Jan 2016); Ministère du Tourisme du Sénégal; RIU (2019); INE Cabo Verde (2024); SDTIBM; PropertyCloud citing EDB (2023); Maghreb Emergent (2026); Red Sea Global; AGBI; Modon Holding (May and Jul 2026). Six-station range: Heirstone sum of station figures (12,350, Lixus at its 2015 count) and Médias24 total (15,000). Lixus latest target from the Cour des comptes via TelQuel (2017); TelQuel gave 3,600 in 2013. TDA constructed counts may include rooms then under construction (see Exhibit 12). The Red Sea July 2026 count rests on a single press source (Travel Tomorrow). **Heirstone analysis.**

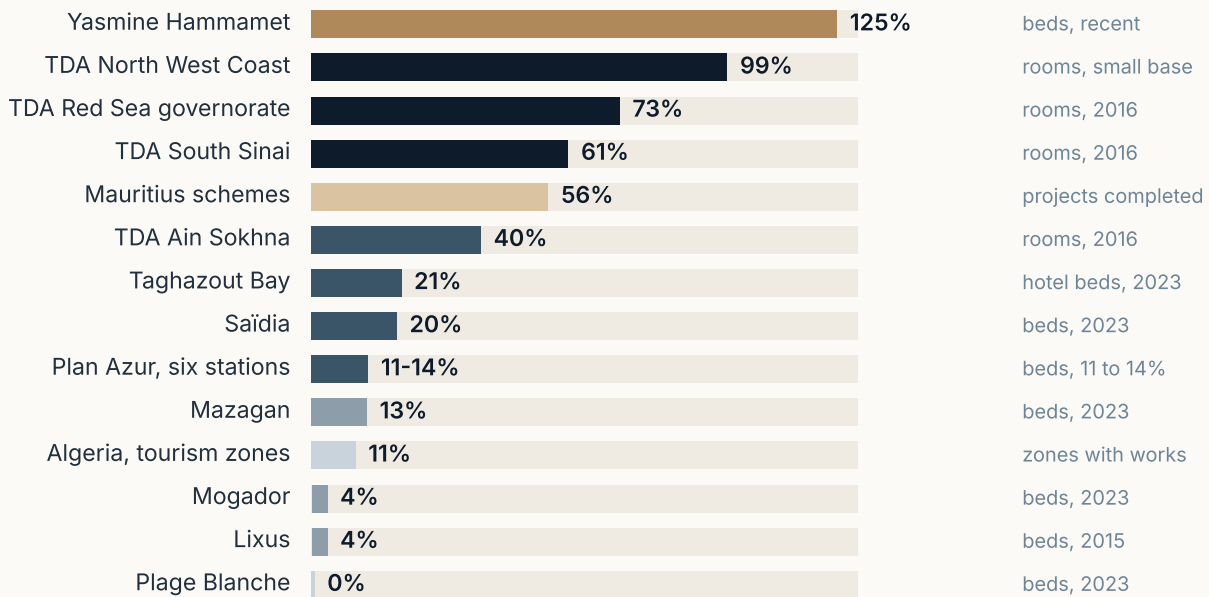
READING THE LEDGER

Delivery runs from nothing to a quarter above plan, and the slowest stations took twice as long to open as the fastest

EXHIBIT 3

Yasmine Hammamet and, on TDA figures, Egypt's two largest zones built most of what they planned; most Moroccan stations built less than a quarter

Delivered as a share of first published target; unit and date of the latest count shown on the right

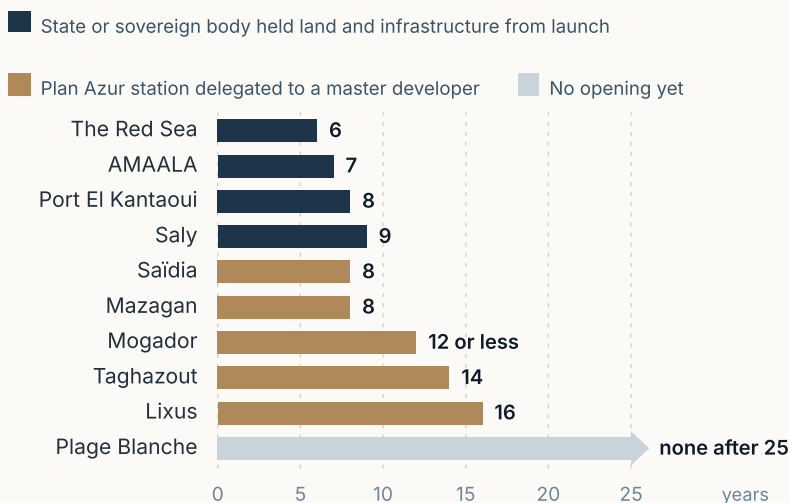


Source: Heirstone State Resort Ledger 2026; inputs and sources as Exhibit 2. Units differ (beds, rooms, projects, zones); ratios compare like with like within each row only. Plan Azur bar drawn at 13.5% (Médias24 total); range 11 to 14% of the 2008 plans. TDA: rooms reported as constructed (see Exhibit 12). **Heirstone analysis.**

EXHIBIT 4

Where a state body prepared the land, first openings came six to nine years after launch; the Azur stations took eight to 16, and one has not opened

Years from programme launch (or start of studies) to first opening



Source: Red Sea Global; Wikipedia (Amaala, Port El-Kantaoui, Saly); Bladi.net (2008); Médias24 (2023); SAPST (2022); TelQuel (2013). Mogador: one hotel and golf course were operating by November 2013; opening year not verified. **Heirstone analysis.**

The fastest openings took six to nine years in every group, whether the developer was Tunisian, Senegalese, Saudi or Moroccan. The spread is what differs. Where the state held the land and built the roads itself, the first opening came within nine years. Where Plan Azur handed a whole station to one master developer, it took eight to 16 years, and Plage Blanche has no opening after 25.

6 years

from announcement (July 2017) to first guests (November 2023) at The Red Sea, with its own airport opened in September 2023

CHAPTER 2 | MOROCCO'S PLAN AZUR

02

The moving target

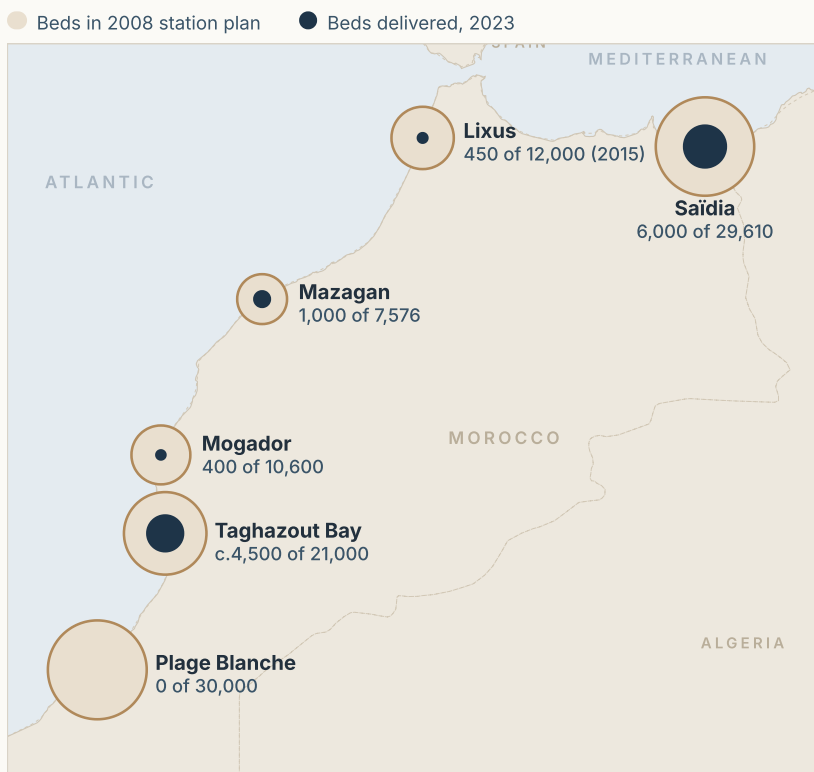
Plan Azur is the largest natural experiment in the region. Launched in 2001 under Vision 2010, it handed six coastal sites to master developers: Spain's Fadesa at Saïdia and Plage Blanche, Kerzner at Mazagan, European groups at Lixus and Mogador, and a Saudi group at Taghazout, with Colony Capital involved by 2008.

By January 2008 the six station plans added up to 110,786 beds on 3,505 hectares, with first openings promised between 2008 and 2012. Twenty-two years after launch, Médias24 counted about 15,000 beds across the stations. The targets were restated at least four times along the way; the built count moved much less.

EXHIBIT 5

Saïdia and Taghazout Bay hold most of what was built; Plage Blanche has nothing

Beds in the January 2008 station plan and beds delivered by June 2023, by station



Source: Bladi.net (23 Jan 2008); Médias24 (18 Jun 2023); TelQuel (22 Jan 2017) for Lixus. Circle areas proportional to beds. Positions approximate. Natural Earth. Heirstone analysis.

The stations were re-planned as they stalled. Saïdia went from 29,610 beds to 16,000 and Taghazout from 21,000 hotel beds to 6,000 within an 11,000-bed total. Lixus was cut from 12,000 beds to 3,600 in 2013 and stood at 7,926 in the Cour des comptes count. Mazagan, Mogador and Plage Blanche kept targets close to their 2008 figures and delivered 13% or less against them.

Two stations, Saïdia with about 6,000 beds and Taghazout Bay with about 4,500, account for at least 70% of what the programme has delivered. Mazagan has one 500-room resort, a golf course and a casino. Mogador has a Sofitel and a golf course. Lixus opened its single hotel in 2017. Plage Blanche, the largest station on paper, had its works halted with nothing built.

70%+

of Plan Azur's delivered beds are at Saïdia and Taghazout Bay (2023). Heirstone analysis.

MAD 15bn

of public investment behind Plan Azur 2020, about US\$1.48bn at 2023 rates, according to Médias24

The density planned was low. The 2008 plans averaged 31.6 beds per hectare; Yasmine Hammamet in Tunisia holds about 30,000 beds on 277 ha, or 108 per hectare. Low-density stations need more roads, networks and golf per bed before the first guest arrives.

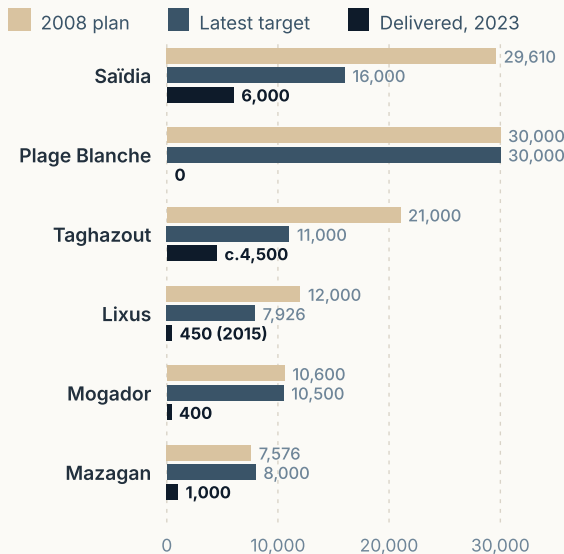
PROMISED AND BUILT

The target was quoted at anything from 58,540 to 128,000 beds. The built count never passed about 15,000.

EXHIBIT 6

Targets were cut by up to half; deliveries still fell short of the cut targets

Beds by station: January 2008 plan, latest published target and beds delivered

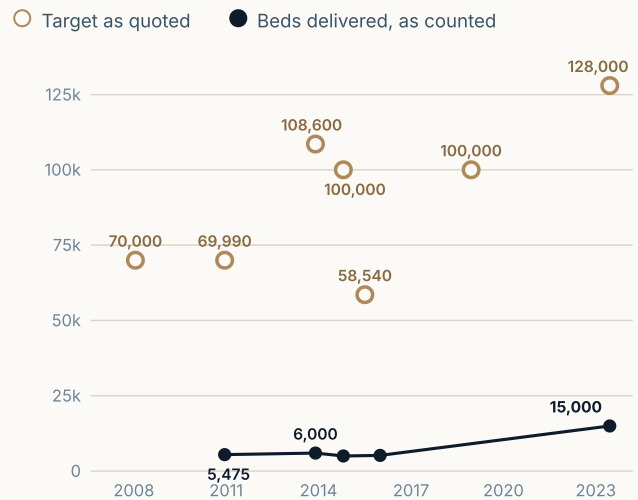


Source: Bladi.net (Jan 2008); Médias24 (Oct 2014, Jun 2023); TelQuel (Nov 2013, Jan 2017); SAPST brochure (Feb 2022). Latest targets: Saïdia 2023, Plage Blanche (no revision found), Taghazout 2022 (total beds, of which 6,000 hotel), Lixus 2017 (Cour des comptes; 3,600 in TelQuel's 2013 count), Mogador 2023, Mazagan 2014. Taghazout's 2008 plan counted hotel beds only.

EXHIBIT 7

Every recount gave a different target; the built count stayed between 5,000 and 15,000

Programme bed target and beds delivered, as quoted at each date



Source: Bladi.net (Jan 2008); Cour des comptes via Médias24 (Jan 2017: 69,990 target and 5,475 built by end-2010; 58,540 Vision 2020 target); TelQuel (Nov 2013 station sum; Jan 2017 station figures for end-2015, summed by Heirstone); Médias24 (Oct 2014; Jun 2023); EcoActu (Jan 2019). The 2013 point excludes Lixus: the 3,600 beds TelQuel listed there were the revised target, and Médias24 found nothing built in 2014. End-2015 includes 450 Lixus beds and 360 Taghazout residence beds still being completed.

No two sources agree on what Plan Azur was meant to deliver. Bladi.net reported 70,000 beds in January 2008. The station plans published the same month sum to 110,786. The Cour des comptes measured the stations against 69,990 beds for 2010 and 58,540 under Vision 2020. Médias24 cited 100,000 in 2014 and 128,000 as the original target in 2023.

The built count is more stable. The Cour des comptes found 5,475 beds at the end of 2010, 7.8% of that

year's target, and, under Vision 2020, 1,576 beds delivered by the end of June 2015, 2.7% of a 58,540-bed target. By mid-2016 three of eight Azur stations had been inaugurated, with capacity near 10% of the initial ambition according to Finances News. Médias24 counted about 15,000 beds in 2023.

Because the targets moved so often, the Ledger measures every station against its first published station plan, and shows later targets alongside.

7.8%

of the 69,990 beds targeted for end-2010 delivered, according to the Cour des comptes

2.7%

of the 58,540-bed Vision 2020 target delivered by the end of June 2015 (1,576 beds)

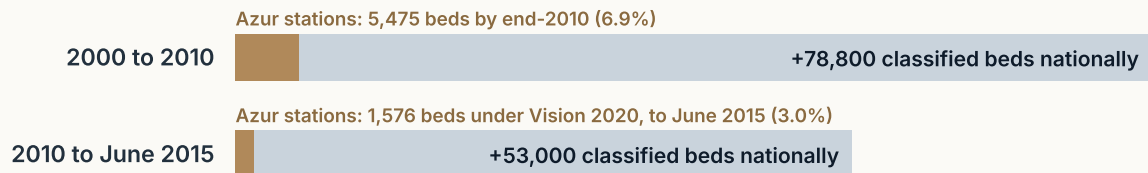
WHERE THE BEDS WENT INSTEAD

Morocco added beds quickly between 2000 and 2015, almost all of them outside the stations built to hold them

EXHIBIT 8

The Azur stations supplied 7% of Morocco's new classified beds in the 2000s and about 3% from 2010 to 2015

Growth in Morocco's classified bed stock and beds delivered in the Azur stations, by period



Source: Finances News Hebdo (Jul 2016: 95,200 beds in 2000, 174,000 in 2010); Cour des comptes via Médias24 (Jan 2017: 227,000 in June 2015; 5,475 Azur beds by end-2010; 1,576 under Vision 2020 by end-June 2015). Hespress (2025) gives 70,000 beds for 2000; we use the higher base, which lowers national growth and so raises the Azur share. Vision 2020 was launched in November 2010, so periods differ slightly in the second row. **Heirstone analysis.**

Morocco's classified bed stock went from about 95,200 in 2000 to 174,000 in 2010 and 227,000 by June 2015. Arrivals, including Moroccans resident abroad, rose from 6.1 million in 2005 to 13.1 million in 2019 on World Bank data. The demand the stations were designed for did arrive. It went to Marrakech, Agadir and the cities: in 2019 Marrakech and Agadir alone produced 57% of nights in classified accommodation, and El Haouz, around Marrakech, ran at 83% occupancy.

The stations missed that growth for reasons specific to them. Each was planned as a greenfield station with its own golf courses, and at Saïdia a marina, and each depended on a single master developer. The Cour des comptes described Saïdia's model as short-term and dependent on property sales. When property sales stopped in 2008, the hotel programme stopped with them.

Médias24 puts the public investment behind Plan Azur 2020 at MAD 15bn, about US\$1.48bn at 2023 rates, and Le360 says the state mobilised close to that sum. Against about 15,000 beds, that is MAD 1m (about US\$99,000) of public money per delivered bed, a ratio that includes roads and utilities serving more than the stations. According to the Cour des comptes, the state tourism engineering agency, SMIT, approached 158 prospective investors between 2012 and 2015, mostly in the Middle East and North Africa, and signed three conventions.

Plan Azur has been reworked more than once. SMIT commissioned a re-framing study in 2015 and a relaunch study in December 2018, and in March 2026 announced plans to add 25,000 hotel rooms nationally in four years, according to Wikipedia's summary of the press. The two stations that work today, Saïdia and Taghazout Bay, both do so under state-backed owners. Chapter 3 shows how they got there.

227,000

classified beds in Morocco in June 2015, up from 174,000 in 2010

57%

of 2019 nights in classified accommodation were in Marrakech and Agadir

158 | 3

prospective investors approached by SMIT in 2012 to 2015, and conventions signed

CHAPTER 3

03

Who carried
the risk

Every resort coast carries four risks before the first guest arrives: land, infrastructure, hotel capital and demand. The programmes that delivered were the ones where somebody able to hold those risks for a decade was in place from the start.

2008-12

the window in which four of Morocco's private master developers or their parents failed, withdrew or were replaced

Plan Azur gave each station to one master developer, who was to build the infrastructure, the golf courses and the hotels, with home sales helping to pay for them. Each station therefore rested on one balance sheet and on the property market.

The test came in July 2008, when Martinsa-Fadesa, parent of the Saïdia developer and named developer of Plage Blanche, filed for voluntary insolvency in Spain with about EUR 7bn (US\$10.3bn) of liabilities. In April that year Fadesa had planned more than 5,000 tourist housing units at Saïdia for EUR 450m (US\$662m), and three hotels had already slipped to 2009. The station passed to Douja Promotion, part of Morocco's Addoha group, which handed it over in 2012 after about MAD 200m (US\$23m) of losses, according to TelQuel.

At Lixus, the Belgian and Dutch developers withdrew in 2009 and were replaced by Alliances and H-Partner. At Taghazout, awarded to the Saudi group Palais des Roses in 2002 and later linked to Colony Capital, the concession was terminated in 2009. Emaar's separate Moroccan programme, presented at MAD 56bn (US\$7.2bn) in 2008, had been frozen for months by December 2010 while Emaar negotiated its exit, according to Bladi.net.

State capital took over. In 2011 CDG and the Moroccan Fund for Tourism Development (FMDT, now Ithmar Capital) created SAPST for Taghazout. In 2012 they took Saïdia. In 2014 the Saïdia company raised its capital by MAD 700m (US\$83m) and signed Meliá to run two hotels; by June 2019 it had invested MAD 1.7bn (US\$177m). The station then had about 3,370 hotel beds open, 1,194 of them in the company's two Meliá hotels, with 768 more under completion.

In 2011 FMDT also formed Wessal Capital with Qatar Holding, Kuwait's Al Ajial, Saudi Arabia's PIF and Abu Dhabi's Aabar, 20% each, with a potential envelope of EUR 2.5bn. Its flagship projects are urban waterfronts in Casablanca (MAD 6bn) and Rabat (MAD 8.7bn).

The exits coincided with the 2008 financial crisis, to which the Cour des comptes attributes the Lixus withdrawals. They fell between 2008 and 2012 and involved Spanish, Saudi, American, Belgian, Dutch and Moroccan companies. What differed between countries was what happened next. In Morocco the state became developer of last resort. Tunisia's state banks carried the hotel debt, while Egypt's land agency enforced its deadlines, recovering idle plots and repricing them.

The stations restarted when an owner able to wait arrived. In Morocco, that owner was the state.

EXITS AND RESPONSES

Between 2008 and 2012 private developers left three Azur stations, and state capital took over two of them

EXHIBIT 9

Most private exits were followed by a state or sovereign step within three years

Exits, insolvencies, takeovers, recapitalisations and land actions affecting state-promoted resorts, 2008 to 2026

	PRIVATE EXITS, FAILURES AND SHOCKS	STATE AND SOVEREIGN RESPONSES
2008	■ Morocco. Martinsa-Fadesa, parent of Saïdia's developer, files for insolvency (July); Saïdia's opening slips to mid-2009	
2009	■ Morocco. Lixus: Belgian and Dutch developers withdraw ■ Morocco. Taghazout: 2002 concession (Palais des Roses, later Colony Capital) terminated	■ Morocco. Lixus: Alliances and H-Partner take over
2010	■ Morocco. Emaar's MAD 56bn programme frozen; exit under negotiation by December	
2011		■ Morocco. Taghazout: SAPST created by CDG and FMDT ■ Morocco. Wessal Capital formed by FMDT and four Gulf sovereign investors
2012	■ Morocco. Saïdia: Douja Promotion (Addoha) exits after about MAD 200m of losses; Barceló withdraws	■ Morocco. Saïdia: CDG and FMDT take over ■ Tunisia. Asset management company for hotel debt announced
2014	■ Tunisia. Hotel debt put at TND 4bn (US\$2.4bn), 57.5% of it classified	■ Morocco. Saïdia: Meliá appointed (Feb); capital raised by MAD 700m (May) ■ Morocco. Mazagan: Investment Corporation of Dubai buys a significant part of Kerzner (Apr)
2015	■ Tunisia. International arrivals fall 25%	■ Egypt. TDA enforces build deadlines, recovering 22.2m m2 from investors who had not built (Feb)
2016-17		■ Egypt. TDA moves land pricing from US\$ to EGP (Mar 2017), after investors with payment difficulties returned 27 plots in 2016 ■ Morocco. Cour des comptes reports on SMIT (Jan 2017)
2018-19	■ Tunisia. Thomas Cook fails; about 45 hotels had worked only with it (Sep 2019)	■ Morocco. SMIT launches a Plan Azur relaunch study (Dec 2018) ■ Morocco. Saïdia company's investment reaches MAD 1.7bn (Jun 2019)
2025		■ Saudi Arabia. Red Sea Global signs US\$3.76bn of bank financing (May)
2026		■ Egypt. TDA reprices stalled Red Sea hotel plots to US\$210 per m2 (May)

Source: Wikipedia (es), Martinsa-Fadesa; Bladi.net (Apr 2008, Dec 2010); TelQuel (Nov 2013; Feb, Apr and May 2014; Jan 2017); Médias24 (Jun 2019); Wikipedia (fr), Wessal Capital; La Presse de Tunisie (Sep 2020); World Bank WDI; Daily News Egypt (Feb 2015); Enterprise (Mar 2017, May 2026); EcoActu (Jan 2019); Kapitalis, Asharq Al-Awsat and Managers.tn (Sep and Oct 2019); AGBI (2025). Amounts converted at World Bank annual average rates for the year shown.

SIX WAYS TO SHARE THE RISK

The models that spread hotel building across many investors built the most; the model that relied on one developer per station built the least

EXHIBIT 10

Six ways the region has divided land, infrastructure, hotel and demand risk

Delivery models in state-promoted resort programmes, with examples and record to date

MODEL	WHERE	LAND	INFRA-STRUCTURE	HOTEL CAPITAL	RESIDENTIAL	WHO CARRIED THE DOWNTURN	RECORD
Single private master developer per station	Plan Azur stations, 2002 to 2008	State concession via SMIT	Developer, with state off-site works	Developer	Pre-sales fund the station	The state, after developers left	11 to 14% of 2008 plans by 2023
State land company, many hotel builders	Tunisia: Port El Kantaoui, Yasmine Hammamet	State study companies and AFT sell serviced plots	State	Many private owners, state-bank credit	37% of beds at Yasmine	State banks: TND 4bn of hotel debt (2014)	170,000 beds created; Yasmine 125%
State land agency, many developers	Egypt TDA: Red Sea, South Sinai, Ain Sokhna	TDA allocates, enforces deadlines and reprices	Shared	Private (896 developers, 2016)	Density capped at 4 to 20 units per acre	Developers; idle plots revert to TDA	140,004 rooms reported as built, 65% of approved (2016)
State-owned development company	Senegal: SAPCO. Morocco after 2011: SAPST, Saïdia's SDS	State company	State company	Hotel investors and operators	Varies: 45% of planned beds at Taghazout Bay	The state company	Taghazout: 0 beds (2013) to c.4,500 (2023)
Sovereign developer that builds and owns	Saudi Arabia: Red Sea Global (PIF)	Sovereign	Sovereign, including the airport	Sovereign, bank debt and operators	11% of units at The Red Sea	Sovereign balance sheet	9 resorts open by 2025; 11 by July 2026 (press report)
Development rights sold to a sovereign master developer	Egypt: Ras El Hekma (ADQ, Modon)	Rights sold for US\$24bn; Egypt keeps 35%	Master developer	Master developer and partners	38% of units in two hotels (2026)	Master developer	Too early to score

Source: Heirstone typology. TelQuel (2013, 2017); Médias24 (2023); AFT; Wikipédia (Yasmine Hammamet); La Presse de Tunisie (Sep 2020); Invest-Gate citing TDA (2016); Daily News Egypt (2015); Enterprise (2026); Ministère du Tourisme du Sénégal; SAPST (2022); Red Sea Global; AGBI (2025); Travel Tomorrow (Jul 2026); The National (Feb 2024); Modon Holding (May and Jul 2026). **Heirstone analysis.**

The second and third models produced the most rooms. Tunisia's Agence Foncière Touristique (AFT) says it has created 170,000 beds across more than 16 stations, equal to about 74% of the country's 230,726 beds in 2023, although the AFT figure is cumulative. State study companies prepared Port El Kantaoui from 1971 and Yasmine Hammamet from the late 1990s, and dozens of private owners built the hotels. Egypt's TDA allocated 290 million m2 to projects and dealt with 896 developers; by 2016 it reported 140,004 rooms constructed, 65% of those approved.

The two models placed the downturn on different balance sheets. Tunisia's hotel debt was about TND 4bn in 2014 (US\$2.4bn at that year's rate), according to central bank figures reported by La Presse de Tunisie, of which TND 2.3bn, or 57.5%, was classified as non-performing; a third of the country's hotels were indebted in 2016. Egypt's TDA kept the risk with developers and enforced its build deadlines, recovering or repricing idle land several times since 2015. The sixth model, a land-rights sale, moves the risk to the buyer and is too recent to score.

74%

of Tunisia's 2023 bed stock matched by the 170,000 beds the AFT says it has created. **Heirstone analysis.**

896

developers dealing with Egypt's TDA in 2016

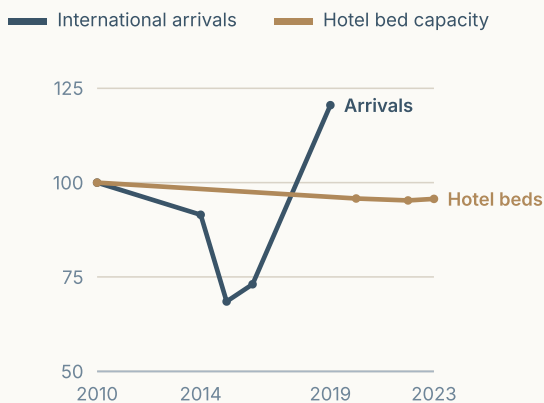
RISK IN THE MANY-BUILDER MODELS

Tunisia and Egypt built the most. Tunisia's banks carried the hotel debt; Egypt's TDA enforced its build deadlines by recovering and repricing idle land

EXHIBIT 11

Tunisia's bed base barely moved while arrivals fell by a quarter, then rose by three quarters

Index, 2010 = 100: international arrivals and hotel bed capacity, available years



Source: World Bank WDI (UN Tourism arrivals: 7.83m in 2010, 5.36m in 2015, 9.43m in 2019); Wikipédia citing ONTT (241,000 beds, 2010); Ministère du Tourisme (230,903 beds, 2020; 229,733, 2022); INS/ONTT (230,726, 2023). Lines join available years only. **Heirstone analysis.**

Tunisia's bed capacity held through the shocks of the past fifteen years: in 2023 it was still within 4.3% of the 2010 peak of 241,000. Demand did not hold as steadily: arrivals fell 25% between 2014 and 2015 and rose to 9.4 million in 2019 before the pandemic, when national occupancy fell to 11.1%. The balance sheets absorbed the gap. Hotel debt reached about TND 4bn in 2014, 7.25% of all bank claims by 2016, and the state bank STB alone held TND 1.348bn of hotel claims (US\$557m) in June 2017. An asset management company announced in 2012 had not resolved it by 2020, according to La Presse de Tunisie. The dinar lost 54% of its US dollar

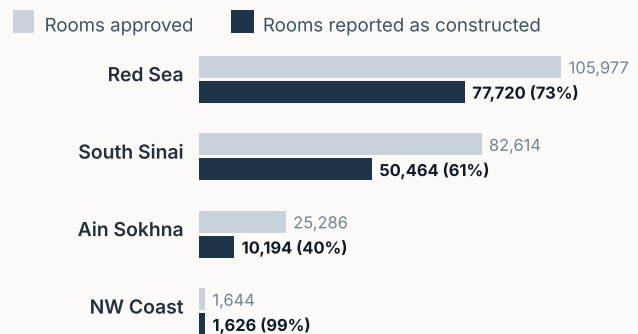
value between 2010 and 2023, so the same debt is worth far less in dollars today.

Egypt's TDA used land as its lever and enforced its build deadlines. It recovered 22.2 million m2 from investors who had not built in 2015, accepted the return of 27 plots from investors with payment difficulties in 2016, moved its land prices from dollars to pounds in March 2017, and in May 2026 repriced stalled Red Sea hotel plots from about US\$130 to US\$210 per m2, or a one-year extension fee of up to US\$5,000. The land model also funded the agency: TDA revenues reached EGP 571m in FY2013/14, 32.8% above target.

EXHIBIT 12

Egypt's TDA zones reported 140,004 hotel rooms constructed by 2016, two thirds of those approved; the Red Sea governorate alone had 77,720

Hotel rooms approved and reported as constructed by TDA zone, 1 January 2016



Source: Invest-Gate, Tourism Sector Overview (1 Jan 2016, TDA data). The same release counts 47,936 rooms under construction and 75,517 planned; the constructed count may include rooms then under construction. In a 2016 interview the TDA's head cited about 91,000 completed rooms in TDA areas, which we treat as the conservative reading, and gave a different reading of the Red Sea split. **Heirstone analysis.**

57.5%

of Tunisia's TND 4bn hotel debt classified in 2014 (TND 2.3bn).
Heirstone analysis.

22.2m m2

of TDA land recovered in February 2015 from investors who had not built, 7.7% of the 290m m2 assigned by 2016.
Heirstone analysis.



04

Seats decide

A golf course and a marina can be built to a plan. Airline seats from the right cities have to be negotiated, and they decided which stations filled.

4 of 12

months Saïdia was open in 2014; the repositioning plan aimed for six to eight

Saïdia has a marina of 804 to 850 berths, golf, an aquapark and five hotels. In the winter of 2013 every hotel closed until the summer, for the first time since the station opened. In 2014 it was open four months out of twelve. Today, according to Le360, its hotels run at close to 80% from June to September and are almost inactive in winter, and Médias24 describes it as full for about two months a year.

The station is served by Oujda-Angad airport, which has no direct routes to Paris, Brussels, Amsterdam or Madrid, the markets a Mediterranean resort in

Morocco's north-east would expect to sell to. Taghazout Bay, on the Atlantic, also relies on Moroccans in summer, who make up over 80% of its demand, but it sits near Agadir, one of the country's two largest leisure markets.

In the cases we could document, the clearest predictor of how full a resort runs is how many seats land nearby. The evidence comes from places where other things are held constant: two resorts of the same developer in Egypt, zones within the same country in Tunisia and Cabo Verde, and one airport before and after its resort opened.

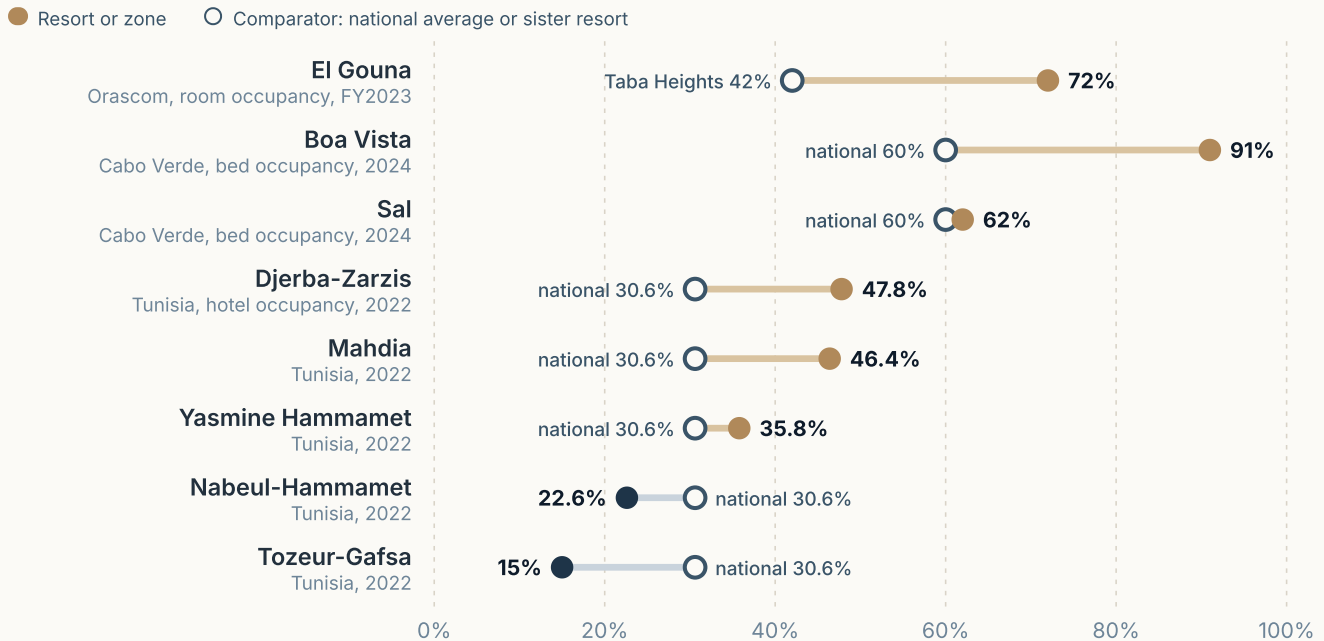
OCCUPANCY AND ACCESS

Near a 9.6-million-passenger airport, El Gouna ran 30 points fuller than its sister resort in FY2023

EXHIBIT 13

Location within a country moves occupancy more than the country does: Djerba and Boa Vista run at about 1.5 times their national averages

Occupancy of a resort or zone against its comparator, latest year published



Source: Orascom Development Holding, Annual Report FY2024; INE Cabo Verde, Estatísticas do Turismo 2024; Ministère du Tourisme (Tunisie), Rapport extrait 2022. El Gouna and Taba Heights shown for FY2023, before Taba Heights' owner closed all but one of its hotels after October 2023, citing the regional conflict. Measures differ by country (room, bed or hotel occupancy) and are compared only within each row. Heirstone analysis.

EL GOUNA AND TABA HEIGHTS COMPARED

FY2024	EL GOUNA	TABA HEIGHTS
Hotels rooms	18 2,676	6 2,349
Rooms per hotel	149	392
Occupancy FY2023	72%	42%
Nearest airport	Hurghada, 20 km	Taba, 30 km
Airport passengers	9.64m (2024)	41,142 (2014)

Source: Orascom Development Holding FY2024; Wikipedia (El Gouna; Hurghada International Airport; Taba International Airport). Airport figures are for different years. Rooms per hotel: Heirstone analysis.

Orascom Development runs both resorts. El Gouna, founded in 1990, sits 20 km north of Hurghada, whose airport handled 9.64 million passengers in 2024 and 11.43 million in 2025. Taba Heights sits 30 km from Taba's airport, which handled 41,142 passengers in 2014 according to Wikipedia, the latest figure we found. In FY2023 El Gouna ran at 72% and Taba Heights at 42%. After October 2023 the company closed five of Taba Heights' six hotels, citing the regional conflict; El Gouna held at 71% in FY2024.

Tunisia shows the same within one country. Djerba-Zarzis, the largest zone with 53,071 beds in 2020, has its own airport, which handled 2.2 million passengers in 2024. Its hotels ran at 47.8% in 2022 against 30.6% nationally, and at 20.7% against 11.1% in 2020.

In Cabo Verde, Boa Vista filled 91% of its beds in 2024 against 60% nationally. At the other end, Nabeul-Hammamet and Tozeur-Gafsa ran below Tunisia's average in 2022, and Gafsa-Tozeur lost 48% of its beds between 2015 and 2023.

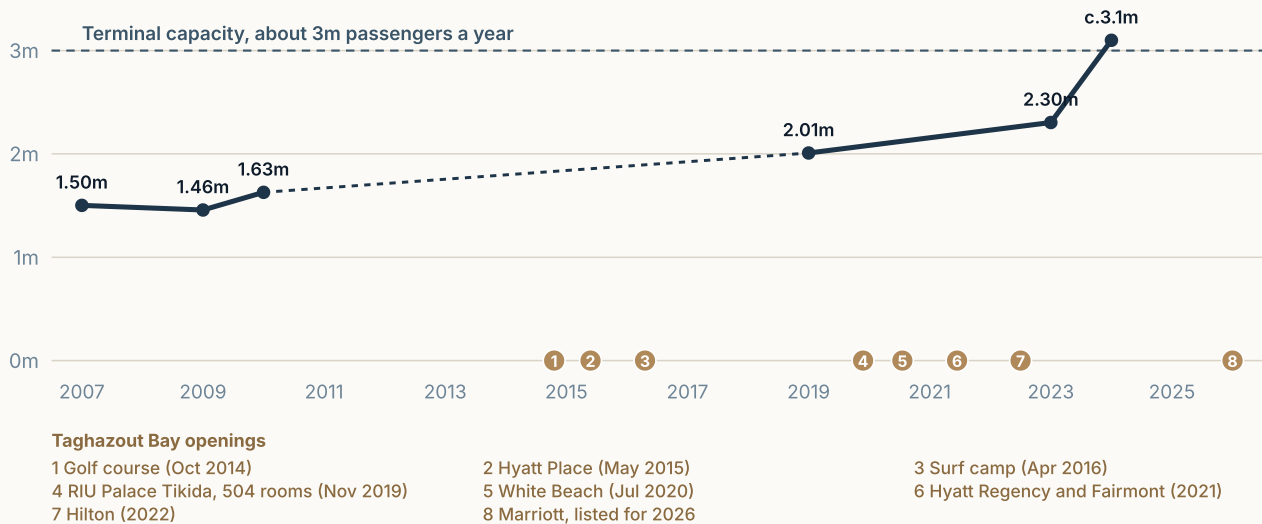
SEATS BEFORE BEDS

Agadir's passengers barely moved for a decade, then rose by half as Taghazout Bay opened

EXHIBIT 14

Agadir airport grew about 2.5% a year from 2007 to 2019, then 54% in five years, reaching its terminal capacity in 2024

Agadir Al Massira airport passengers (millions) and Taghazout Bay openings

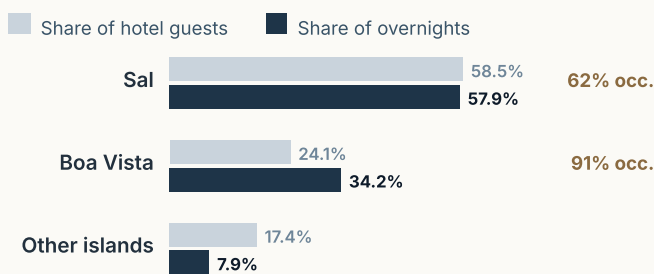


Source: Wikipedia, Agadir-Al Massira Airport (ONDA statistics); SAPST brochure (Feb 2022) and Taghazout Bay website (2026) for openings. Dashed segment: years not retrieved. Growth rates: Heirstone analysis; the timing shows association, not cause.

EXHIBIT 15

Sal takes most of Cabo Verde's guests; Boa Vista keeps them longer and fuller

Share of hotel guests and overnights, and bed occupancy, by island, 2024



Source: INE Cabo Verde, Estatísticas do Turismo, Movimentação de Hóspedes, 2024. Sal overnights derived from the combined Sal and Boa Vista share of 92.1%. Heirstone analysis.

Taghazout Bay's golf course opened in October 2014 and its first hotel in May 2015. Agadir's airport had handled 1.5 million passengers in 2007 and 2.0 million in 2019. Between 2019 and 2024, as RIU, Hyatt, Fairmont and Hilton opened in the bay, traffic rose to about 3.1 million, above the terminal's capacity of about 3 million. A Marriott first scheduled for 2023 is now listed for 2026.

Cabo Verde's tourism grew around one airport. Sal's was the only international airport until September 2005 and handled 1.19 million passengers in 2019; Sal took 58.5% of the country's hotel guests in 2024 and 53% of accommodation jobs in 2019 with 30 of 284 establishments. Boa Vista, whose six development zones are run by the state-majority SDTIBM, held guests for about 6.8 nights in 2024, against 4.75 on Sal and 4.8 nationally (Heirstone analysis), and filled 91% of its beds.

CHAPTER 5

05

The second-home drift

Resort plans are written around hotel beds, because hotel beds produce jobs and foreign currency all year. Developers often prefer homes, which buyers pay for before they are built. When the hotels stall, the plan drifts towards the homes.

Plan Azur's 2008 station plans were 68% hotel beds, close to the 70/30 split described at the time. The Cour des comptes counted 1,570 beds delivered against the Vision 2020 target by mid-2015. TelQuel's station detail places them at Taghazout, Mazagan and Mogador, and 804 of them, 51%, were in villas (444) or a hotel residence still under way (360).

804 of 1,570

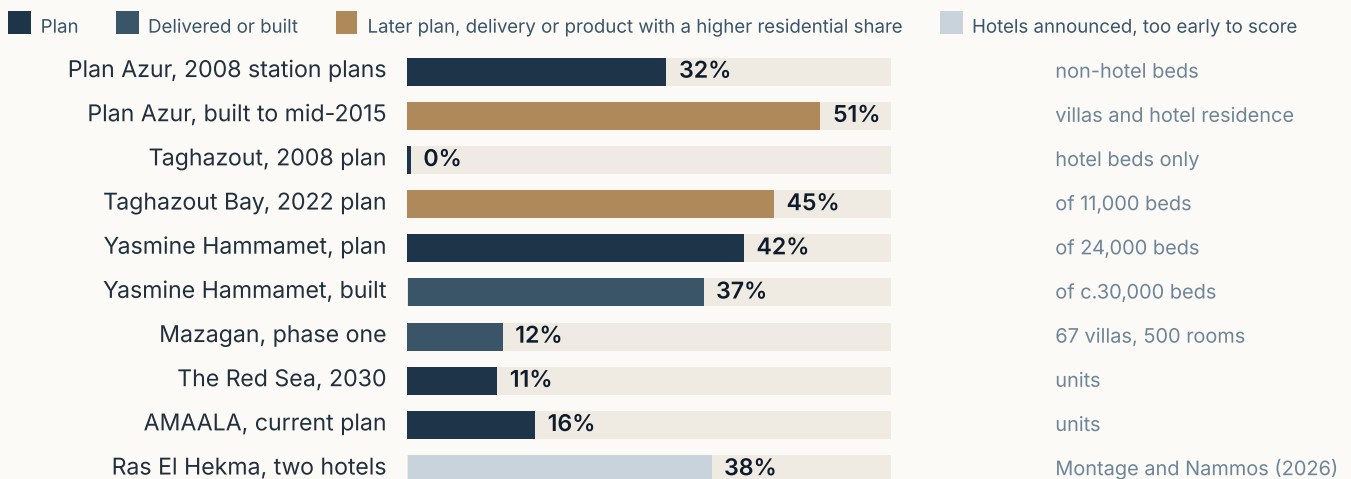
beds counted at Taghazout, Mazagan and Mogador by mid-2015 that were in villas or a hotel residence. **Heirstone analysis.**



EXHIBIT 16

Plans drift from hotels to homes when hotels stall; the Red Sea plans run the other way

Residential or non-hotel share of beds or units, by plan, delivery or product



Source: Bladi.net (Jan 2008); TelQuel citing the Cour des comptes (Jan 2017); SAPST brochure (Feb 2022); Wikipédia (Yasmine Hammamet); Journal des Palaces (2009); Wikipedia, The Red Sea Project; Red Sea Global (AMAALA: 1,600 keys, 300+ residences); Modon Holding (May and Jul 2026: Montage, 200 keys and 96 residences; Nammos, 79 keys and 73 residences). Plan Azur to mid-2015: villas alone were 28% of the 1,570 beds. Beds and units are not the same measure. **Heirstone analysis.**

WHERE SECOND HOMES SELL

Residential sales follow a working hotel destination. At Saïdia, the homes did not sell ahead of the hotels.

EXHIBIT 17

Homes sell where the hotels already work: El Gouna sold 289 at US\$5,287 per m2 while Saïdia's golf phase had sold 15 of 85 units

Hotel and residential indicators for two Red Sea resorts (FY2024) and Saïdia's 2019 golf phase

FY2024	EL GOUNA	MAKADI HEIGHTS	SAÏDIA GOLF PHASE (2019)
Hotel rooms occupancy	2,676 71%	n/p	c.3,370 hotel beds open
Homes sold (units)	289	731	15 of 85 marketed
Sales value	CHF 247.9m (US\$282m)	CHF 148.7m (US\$169m)	MAD 200m phase
Average price per m2	CHF 4,655 (US\$5,287)	CHF 1,791 (US\$2,034)	n/p
International buyers	41%	59%	n/p

Source: Orascom Development Holding, Annual Report FY2024; Médias24 (28 Jun 2019). CHF converted at the World Bank 2024 average (0.880 per US\$). n/p: not published. Heirstone analysis.

Residential sales are a legitimate way to fund a resort, and they work where the destination already does. El Gouna has 18 hotels running at 71%, and in FY2024 it sold 289 homes at an average CHF 4,655 per m2, 41% of them to international buyers. Makadi Heights, also on the Red Sea, sold 731 homes at a lower price, 59% to international buyers. Saïdia's 2019 golf phase of 174 villas, townhouses and apartments had sold 15 of the 85 units marketed.

Mauritius chose homes on purpose. Since 2002 its Integrated Resort Scheme and its successors have let foreigners buy residences, first at a US\$500,000 minimum. By the end of 2023 the Economic Development Board had approved 183 projects,

103 of them completed, and 5,396 units had been sold for Rs 156.6bn since 2005. 2023 was a record: 646 units for Rs 23.8bn (US\$526m), about Rs 36.8m (US\$814,000) a unit and 1.8 times the run rate of about 360 a year from 2012. Buyers came from 76 countries; in 2016, 72% were from France, South Africa and Britain.

The lesson from both is about sequence. Homes sold in volume where hotels, flights and a working town came first. Where homes were asked to pay for a station that did not yet exist, as at Saïdia under its first developer, the sales stopped with the credit market and the hotels stopped with them.

5,396

homes sold under Mauritius's residential schemes by end-2023, for Rs 156.6bn since 2005

61%

of Mauritius scheme buyers were over 50 (2023); Mauritians were 9% of the market

41% | 59%

international share of homes sold at El Gouna and Makadi Heights, FY2024

CHAPTER 6

06

The station test

Six questions to ask of any state-led resort before the first plot is sold. Each comes from the record in the previous chapters, and each can be answered from documents a government, a fund or a lender can ask to see.

The first two tests concern demand: whether guests can reach the station and whether there is a hotel for them when they do. The next two concern delivery: whether the station can survive the loss of any one investor and the first downturn. The last two are about discipline: whether land is built on and whether homes follow the hotels.

	TEST	THE QUESTION	WHAT THE RECORD SHOWS	WHAT A PASS LOOKS LIKE
1	DEMAND Seats	Is there an international airport within about an hour, with direct routes from the markets the station is selling to?	El Gouna, near Hurghada's 9.6-million-passenger airport, ran at 72% in FY2023; Taba Heights, 30 km from one with 41,142 passengers (2014), at 42%. Saïdia, without direct core-market routes, fills for two months.	Published seat capacity from target markets, committed before the second hotel phase.
2	DEMAND Hotels first	Will operated hotel rooms open before, or with, the first residential handovers?	Taghazout Bay opened a golf course and seven hotels between 2014 and 2022 under SAPST, and Agadir's traffic followed. Saïdia's first developer planned 5,000+ tourist homes; the Cour des comptes called its model dependent on property sales.	A dated hotel opening schedule with named operators in the development agreement.
3	DELIVERY Many hands	Can several hotel investors build at once on serviced plots, or does the station depend on one balance sheet?	Yasmine Hammamet, with 46 hotels, beat its bed plan by 25%; the TDA dealt with 896 developers and reported 65% of approved rooms as built. Three of six Azur stations changed master developer before or soon after opening.	Serviced plots sold to several investors, phased so that no single exit stops the station.
4	DELIVERY Patient owner	Is there an owner able to carry the station through five or more lean years?	CDG and FMDT recapitalised Saïdia by MAD 700m in 2014 and had invested MAD 1.7bn by 2019; state-linked owners hold 75% of Taghazout Bay's developer. Tunisia's banks carried TND 4bn of hotel debt.	A funded owner with a horizon beyond the first downturn, and a budget for it.
5	DISCIPLINE Use it or lose it	Do plot terms carry build deadlines that are enforced?	The TDA recovered 22.2m m2 of idle land in 2015 and in 2026 repriced stalled plots from about US\$130 to US\$210 per m2. Taghazout's first concession was terminated after seven years.	Deadlines, step-in rights and repricing written into every plot sale and applied.
6	DISCIPLINE Residential tied to hotels	Is the residential share capped, and released as hotel rooms open?	Azur beds counted by mid-2015 were 51% villas or hotel residence, against 32% non-hotel beds in the 2008 plans. The Red Sea plans 11% of units as residences; Taghazout Bay 45% of beds.	A cap in the master plan and a release schedule linked to keys opened.

The Heirstone Station Test. Thresholds such as "within about an hour" and "five lean years" are Heirstone judgements drawn from the cases shown, not regulatory standards.

THE TEST AGAINST THE RECORD

Two tests explain whether a station fills. Two more explain whether it is ever finished.

EXHIBIT 18

Every case that passes on seats and hotels first operates at scale today; the two with hotels but weak air access run seasonal or at low occupancy

The Heirstone Station Test applied to ten documented cases

● Met ◐ Partly met ○ Not met – Not documented in our sources

Tests: 1 Seats; 2 Hotels first; 3 Many hands; 4 Patient owner; 5 Use it or lose it; 6 Residential tied to hotels.

CASE	1	2	3	4	5	6	EVIDENCE	OUTCOME
Plan Azur stations, 2002 to 2008 Original concessions	◐	○	○	○	◐	○	Saïdia had no direct core-market routes; first plan of 5,000+ homes; one developer per station; most left in 2008-10	5,475 beds by end-2010 (7.8% of target)
Saïdia, from 2012 CDG and FMDT	○	●	◐	●	–	◐	Five hotels under Meliá, Iberostar, Be Live and Oasis Atlantico; MAD 1.7bn invested by 2019	3,000 beds (2014) to 6,000 (2023); full two months a year
Taghazout Bay, from 2011 SAPST	●	●	◐	●	–	○	Agadir traffic +54% (2019-24); hotels from 2015; 75% state-linked; 45% of planned beds residential	0 beds (2013) to c.4,500 (2023)
Mazagan, from 2009 Kerzner	◐	●	○	◐	–	●	80 km from Casablanca; 500-room resort with 67 villas; parent ownership changed in 2014	One resort; 13% of station plan
Yasmine Hammamet SEDHS, private hotels	–	●	●	◐	–	●	46 hotels; residential 37% of beds against 42% planned; state-bank credit	c.30,000 beds, 125% of plan
Djerba-Zarzis State zone, private hotels	●	●	●	◐	–	–	Own airport, 2.2m passengers (2024); 135 hotels by 2009	47.8% occupancy, 1.56 times national
Egypt TDA, Red Sea governorate TDA, 896 developers (all zones)	●	◐	●	–	●	◐	Hurghada 9.6m passengers (2024); approvals in hotel rooms; density caps; idle land recovered and repriced	73% of approved rooms reported as built (2016)
El Gouna Orascom, since 1990	●	●	○	●	–	–	20 km from Hurghada; 18 hotels, 2,676 rooms; one developer	72% occupancy (FY2023); 289 homes sold (FY2024)
Taba Heights Orascom	○	●	○	◐	–	–	Airport 30 km away, 41,142 passengers (2014); six hotels; one developer	42% occupancy (FY2023); regional conflict closures from Oct 2023
Sal, Cabo Verde State airport, private hotels	●	●	–	–	–	–	Only international airport until 2005; 1.19m passengers (2019)	58.5% of national hotel guests (2024)

Source: Heirstone assessment from the sources cited in chapters 1 to 5: TelQuel; Médias24; Le360; SAPST; Wikipédia; Ministère du Tourisme (Tunisie); La Presse de Tunisie; Invest-Gate citing TDA; Daily News Egypt; Enterprise; Orascom Development FY2024; INE Cabo Verde; Wikipedia airport pages. A dash means our public sources did not establish the point either way. **Heirstone analysis.**

Read across the first two columns. The TDA's Red Sea coast, El Gouna, Djerba, Sal and Taghazout Bay since 2011 pass on seats and, largely, on hotels first; all operate at scale. Saïdia and Taba Heights have hotels but limited air access: one is full two months a year, and the other ran at 42% in FY2023, before most of its hotels closed in the regional conflict. Plan Azur's original concessions failed on hotels first and delivered 7.8% of the 2010 target.

Build-out follows the third and fourth columns. Stations with many hotel investors (Yasmine Hammamet, Djerba, the TDA zones) or an owner able to wait (Saïdia and Taghazout Bay under state capital, El Gouna under one developer since 1990) kept adding rooms. Stations with neither stopped. The last two tests are documented in fewer cases; where the TDA applied them, idle land was recovered and repriced.

9 of 10

cases scored on four or more of the six tests; Sal on two

2 of 2

cases that fail on seats despite open hotels run seasonal or below 45% occupancy

CHAPTER 7

07

Today's programmes

North Africa is reviving old stations and opening new coasts. West Africa and the islands are extending programmes that are decades old, while Saudi Arabia builds on largely undeveloped coast. The same six tests apply to each.

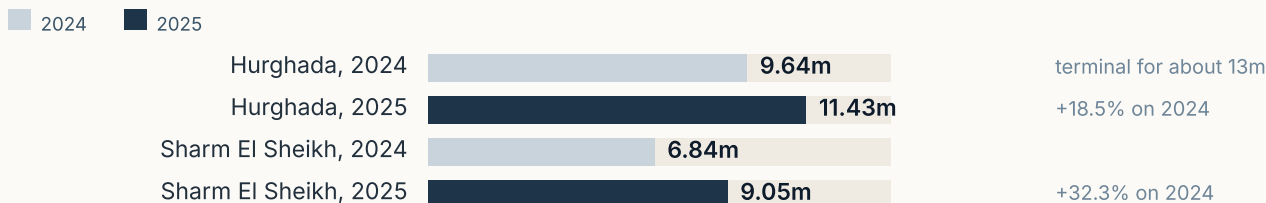
EGYPT

Egypt is opening a new coast at Ras El Hekma, and its two main Red Sea airports carried 24% more passengers in 2025

EXHIBIT 19

Hurghada and Sharm El Sheikh handled 20.47 million passengers in 2025, up 24% on 2024

Passengers, millions, at Egypt's two main Red Sea airports, 2024 and 2025



Source: Wikipedia, Hurghada International Airport and Sharm El Sheikh International Airport (2024: 9,636,689 and 6,837,007); Wikipedia, List of the busiest airports in Africa, citing France Aviation Civile Services (2025: 11,425,529 and 9,046,690, with growth rates). Hurghada's 2014 terminal was built for about 13 million passengers a year. Total and 24% growth: **Heirstone analysis**.

On 24 February 2024 Egypt and ADQ agreed a US\$35bn transaction for Ras El Hekma: US\$24bn for development rights and US\$11bn of converted deposits, with Egypt keeping a 35% stake. Egypt's net foreign direct investment inflows reached US\$46.58bn that year, from US\$9.84bn in 2023 (World Bank). Modon's 2026 masterplan covers 170.8 million m² in 17 precincts along 44 km of coast, with a new international airport, a cruise terminal and marinas, and expects US\$110bn of investment by 2045; US\$150bn was cited in 2024. The Prime Minister described it as a "fully functional urban community and not just a beach resort".

The development rights were bought by a sovereign master developer, with payment scheduled within two months of signing, so the risk of idle land sits with the

buyer and the main question becomes sequencing. In 2026 Modon announced two hotels in the Wadi Yemm precinct: Montage, with 200 keys and 96 residences, and Nammos, with 79 keys and 73 residences. WATG puts the plan at nearly 30 hotels, seven of them in the first phase.

On the Red Sea, the TDA's May 2026 repricing of stalled plots in Marsa Alam, South Sinai and El Quseir applies the fifth test directly. Hurghada's airport handled 11.43 million passengers in 2025, up 18.5%, against a terminal built for about 13 million, and Sharm El Sheikh's 9.05 million, up 32.3%, so there the plots are a tighter constraint than the seats. Egypt received about 19 million international arrivals in 2025, 21% more than in 2024, according to the tourism ministry.

NORTH AFRICA

Morocco is reviving two stations, Tunisia is repairing hotel balance sheets and Algeria is still planning

Morocco. Taghazout Bay now has seven hotels and a Marriott listed for 2026, but Agadir's airport was already at about its terminal capacity in 2024. The next phase depends on airport capacity as much as on hotels. Saïdia has the hotels and lacks the seats; its owner has added MAD 300m to relaunch the site and MAD 600m for peripheral infrastructure, according to Le360. Mazagan and Mogador remain single resorts on large station plans. Plage Blanche's works were halted, and on the same southern coast Orascom Development still carries Chbika as 15 million m2 of raw land with no infrastructure. Madaëf, the CDG group's tourism investor, reports MAD 17bn (US\$1.71bn) of investments across eight destinations.

Tunisia. The bed base held at 230,726 in 2023 but is 4.3% below 2010, and two smaller regions have shrunk fastest: Tabarka-Aïn Draham lost 26% of its beds between 2015 and 2023, and Gafsa-Tozeur 48%. The constraint is the hotel balance sheet. National occupancy was

30.6% in 2022 and implied bed occupancy about 36% in 2019, on our calculation, against about 67% in Cabo Verde. Almost a quarter of the country's beds, 53,114 of 230,726 in 2023, are in the Djerba-Zarzis region, which runs well above average. In 2022 hotels recorded 19.4 million nights, 64.5% of the 2019 level, with an average stay of 4.7 nights. For hotel owners the next decade is about refinancing and renovation more than new stations.

Algeria. The minister listed 238 classified tourism zones and sites in 2026, of which 86 have master plans and 25 have had development works, with 294 hotel projects under way. In 2016 there were 205 zones on 52,200 ha, 21 with approved plans. The share with plans has risen from 10% to 36%. Algeria's hotel stock is put at 96,500 beds in 1,136 establishments, 31,238 of them on the coast, according to Wikipédia (undated). On the record of its neighbours, the first test will matter most: which of the 25 zones have airline seats from the markets they hope to serve.

c.3.1m

Agadir airport passengers in 2024, against a terminal built for about 3m

-4.3%

Tunisia's bed capacity in 2023 against its 2010 peak of 241,000. **Heirstone analysis.**

25 of 238

Algerian tourism zones with development works (2026)

23%

of Tunisia's 2023 beds are in the Djerba-Zarzis region. **Heirstone analysis.**

North Africa has more zoned coast than it has built on. The stations already zoned now need owners with patient capital and airline seats more than they need new plans.

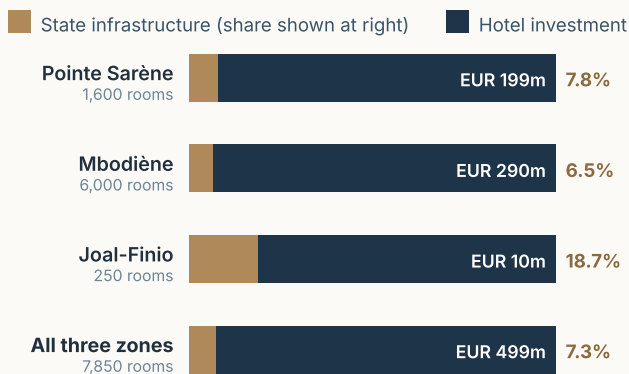
SUB-SAHARAN AFRICA AND THE ISLANDS

Senegal, Cabo Verde and Mauritius have each run one model for decades: a state station, island zones grown around airports, and a property scheme

EXHIBIT 20

In Senegal's three new zones, state infrastructure is 7% of planned investment; hotels are the other 93%

Planned investment by zone, EUR m, and infrastructure share of the total



Source: Ministère du Tourisme et des Loisirs du Sénégal, SAPCO page (infrastructure: Pointe Sarène CFA 11bn, Mbodiène CFA 13bn, Joal-Finio CFA 1.5bn; hotels CFA 130bn, 190bn and 6.5bn, with euro equivalents). Total: EUR 39.1m (US\$44m) and EUR 499m (US\$559m) at the 2019 average rate. Heirstone analysis.

Senegal. SAPCO was created in 1975, 98.75% state-owned, and opened Saly on unoccupied land in 1984. Saly now has 17 hotels, 33 to 35 residences and about 10,000 beds on 620 ha, and is credited with 13,000 direct and indirect jobs. Its remit became national in 2004, and its three new zones plan 7,850 rooms on 634 ha: Pointe Sarène (1,600), Mbodiène (6,000) and Joal-Finio (250). Footprints have moved: an earlier plan gave Pointe Sarène 2,000 rooms and 120 villas on 75 ha. In June 2019 RIU announced EUR 150m (US\$168m) for two hotels on 25 ha at Pointe Sarène, 35 km from Blaise Diagne airport, and lists a hotel there today; we could not verify building at Mbodiène or Joal-Finio.

Exhibit 20 shows how small the state's share of the bill is. Roads and networks, the part a state company can fund, are less than a tenth of it. Planned hotel investment ranges from about EUR 48,000 a room at Mbodiène to EUR 124,000 at Pointe Sarène (US\$54,000 to 139,000 at 2019 rates). Four decades on, we found no other SAPCO station operating at scale.

Cabo Verde. Arrivals rose 3.8 times between 2005 and 2019, to 758,000, and hotels took 1.18 million guests in 2024. Growth followed the airports: Sal and Boa Vista together held 92.1% of overnights. Boa Vista and Maio's six development zones, about 7,000 ha, are run by SDTIBM, created in 2005 and owned 51% by the state and 49% by the two municipalities. Boa Vista filled 91% of its beds in 2024 and kept its guests for about 6.8 nights.

Cabo Verde's 2019 base was 284 establishments with 13,092 rooms and 21,059 beds; British guests were 24% of the total and stayed 8.1

nights on average. Implied bed occupancy that year was about 67%, on our calculation, against about 36% in Tunisia.

Mauritius. The schemes behave as a property-export programme: 5,396 units sold by end-2023 across 183 approved projects, about 30 units per project, with the record year in 2023. By 2016 there were 13 approved IRS projects, 82 RES and 16 PDS, with 1,966 buyers. The test to watch is the last one: a programme built on residences has to keep hotels, services and flights growing alongside the homes it sells.

42 years

since Saly opened in 1984; we found no other SAPCO station operating at scale

92.1%

of Cabo Verde's hotel overnights on Sal and Boa Vista (2024)

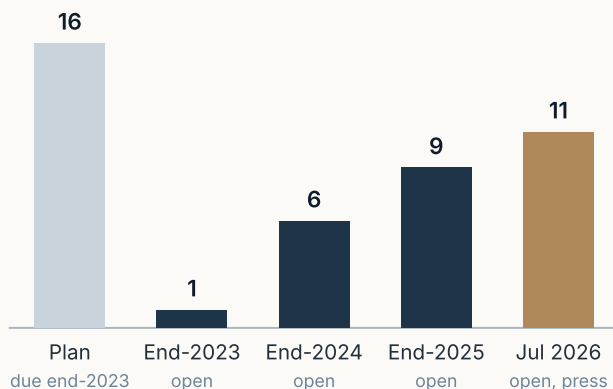
THE GULF COMPARATOR

The Red Sea built its airport and its first hotels together, with hotels a fraction of the size of the Azur ones

EXHIBIT 21

The Red Sea had nine resorts open by the end of 2025, against 16 phase-one hotels first due by the end of 2023

Resorts open at The Red Sea, by date, against the original phase-one plan



Source: AGBI, The Red Sea giga-project profile (2025: 16 phase-one hotels due by end-2023); Red Sea Global, The Red Sea destination page (opening years, including Turtle Bay Hotel in 2024); Wikipedia, The Red Sea Project; Travel Tomorrow (15 Jul 2026: 11 open). The July 2026 count is from a single press source.

The Red Sea was announced in July 2017. Its developer, Red Sea Global, a PIF company, began construction in February 2019, opened Red Sea International Airport in September 2023 and received its first guests at Six Senses Southern Dunes in November 2023. Five of the first resorts, Six Senses, St. Regis, Nujuma, Shebara and Desert Rock, had 366 keys between them, about 73 each. Red Sea Global lists nine resorts opened by the end of 2025, and Travel Tomorrow counted 11 open in July 2026, against 16 phase-one hotels originally due by the end of 2023. The company reports more than 350,000 visitors a year and 70 weekly flights.

On the station test, the programme passes on seats, because it built its own airport, and on hotels first, with residences such as the 400 ha Laheq island expected in 2028. The 2030 plan published earlier was 50 hotels, 8,000 rooms and more than 1,000 residences under a cap of one million visitors a year, on 28,000 km² of which less than 1% is to be developed; Red Sea Global's destination page now lists 18 hotels with about 3,000 keys.

Scale is the sharpest break with the past. The Red Sea's 2030 target of 8,000 rooms is about the size of Saïdia's 2008 hotel plan of 16,905 beds, if a room holds two beds. Those five resorts average 73 keys; Saïdia's five hotels average 1,200 beds. AMAALA, announced in 2018, has cut its plan from 25 hotels and 3,000 rooms to nine hotels with about 1,600 keys and more than 300 residences, and opens its first phase in 2025 and 2026.

The programme has also slipped, as almost every programme in the Ledger has. Even so, six years from announcement to first guests is the fastest in our sample, and it was achieved by a sovereign developer that carried land, infrastructure, the airport and the hotels together, with US\$3.76bn of bank financing agreed in May 2025. The project cost has been cited at US\$23.6bn.

366

keys in five of The Red Sea's first resorts, 2023 to 2024. **Heirstone analysis.**

-47%

cut in AMAALA's room plan, from 3,000 to about 1,600 keys. **Heirstone analysis.**

THE TEST APPLIED TODAY

What the published record says about today's programmes, test by test

EXHIBIT 22

Today's programmes publish most about hotels and owners, and least about seats and residential limits

Published facts for each Heirstone Station Test, by programme, 2026

PROGRAMME	1 SEATS	2 HOTELS FIRST	3 MANY HANDS	4 PATIENT OWNER	5 USE IT OR LOSE IT	6 RESIDENTIAL TIED TO HOTELS
The Red Sea Saudi Arabia	Own airport since Sep 2023; 70 weekly flights	9 resorts open by end-2025, 11 by Jul 2026 (press); Laheq residences expected 2028	One sovereign developer; several operators	PIF; US\$3.76bn bank financing (2025)	Developer builds itself	1,000+ residences against 8,000 rooms (11%)
AMAALA Saudi Arabia	Not set out in our sources	9 hotels, c.1,600 keys; phase one 2025/26	One sovereign developer	PIF	Developer builds itself	300+ residences (16% of units)
Ras El Hekma Egypt	New international airport in the masterplan	Two hotels with 279 keys announced (2026)	Master developer; 17 precincts	ADQ; Egypt keeps 35%	Development rights bought for US\$24bn (2024)	169 residences in the two hotels announced (38% of units)
TDA Red Sea plots Egypt	Hurghada 11.43m passengers (2025), up 18.5%	Approvals counted in hotel rooms	896 developers (2016)	Private developers	US\$210 per m2 or extension fee (May 2026)	Density capped at 4 to 20 units per acre
Taghazout Bay Morocco	Agadir c.3.1m passengers, at terminal capacity (2024)	7 hotels; Marriott listed for 2026	Several hotel brands	SAPST, 75% state-linked	Not published	45% of planned beds residential
Saïdia Morocco	No direct Paris, Brussels, Amsterdam or Madrid routes	5 hotels, 6,000 beds (2023)	Several operators	CDG group (Madaëf)	Not published	Golf phase of 174 units (2019)
SAPCO new zones Senegal	Pointe Sarène 35 km from Blaise Diagne airport	RIU EUR 150m programme (2019); one hotel listed	5 hotel plots at Pointe Sarène; 4 sub-units at Mbodiène	SAPCO, 98.75% state	Not published	120 villas in an earlier Pointe Sarène plan
Boa Vista and Maio Cabo Verde	Not set out in our sources	91% bed occupancy on Boa Vista (2024)	Six zones, c.7,000 ha	SDTIBM: state 51%, municipalities 49%	Not published	Not published
Tourism zones (ZEST) Algeria	Not set out in our sources	294 hotel projects under way (2026)	238 zones; 25 with works	State	Not published	Not published

Source: Red Sea Global; Wikipedia, Red Sea Global and The Red Sea Project; AGBI (2025); Modon Holding (May and Jul 2026); The National (Feb 2024); Invest-Gate citing TDA (2016); Enterprise (May 2026); Wikipedia airport pages; SAPST and Taghazout Bay website; Médias24; Le360; Madaëf; Ministère du Tourisme du Sénégal; RIU (2019); SDTIBM; INE Cabo Verde; Maghreb Emergent (2026). "Not published" means we found no public statement; it does not mean the condition is absent.

The table lists what each programme has made public against each test, without scoring. Three gaps recur. Seat commitments are rarely published, although seats explained occupancy better than anything else in the record. Plot deadlines are published only by Egypt's TDA. Residential shares appear as totals; we found none published as a release schedule tied to hotel openings.

Each gap could be closed by publishing documents that programmes of this kind normally hold: an airport or airline agreement, a plot sale contract, a phasing schedule. Publishing them would let lenders, operators and buyers price a programme on the measures the record shows matter.

1 of 9

programmes with published, enforced plot deadlines: Egypt's TDA

WHAT THE RECORD SAYS TO DO

Twelve actions, each tied to the evidence

A state resort programme succeeds when the airport, the first hotels and an owner able to wait are in place before the homes go on sale, and when the land comes back if nobody builds on it.

Governments and tourism authorities

- 1 **Publish the ledger.** Report beds or keys delivered against plan for every zone, every year. In our sources only Egypt's TDA (2016) and Morocco's Cour des comptes (2017) gave official station-level counts; the rest came from the press.
- 2 **Secure the seats before the second phase.** Tie phase two to published seat capacity from target markets. Agadir's traffic rose 54% in five years as Taghazout Bay opened; Saïdia, without direct routes, fills for two months.
- 3 **Budget for being developer of last resort.** Three of six Azur stations changed master developer and state capital restarted two of them. Plan the standby capital at launch.

Sovereign funds and development finance

- 7 **Fund the airport and the first hotels together.** The Red Sea reached first guests six years after announcement with its own airport; Taghazout and Lixus took 14 and 16 years from launch.
- 8 **Count the whole bill.** In Senegal's new zones, state infrastructure is 7% of planned investment and hotels 93%. At Ras El Hekma the US\$24bn for development rights came first; the masterplan expects US\$110bn of investment by 2045.
- 9 **Track the drift.** Measure the residential share of each phase against the master plan, and the keys opened against the keys promised, every year.

How Heirstone works on destinations

We help governments, tourism authorities, landowners, developers and investors decide what to build on a coast and in what order: demand studies by source market and season, air access and seat analysis, highest-and-best-use and site selection, feasibility and business models (DCF, IRR, NPV and Monte Carlo testing), masterplanning and phasing, and delivery ledgers of the kind in this report.

Land agencies and master developers

- 4 **Sell serviced plots to many investors.** Avoid tying a whole station to one balance sheet. Yasmine Hammamet, built by many hotel owners, beat its plan by a quarter; Plan Azur's single-developer stations reached 11 to 14% of their 2008 plans.
- 5 **Write deadlines into every plot and apply them.** The TDA recovered 22.2m m2 of idle land in 2015 and repriced stalled plots to US\$210 per m2 in 2026. Terms set at sale are easier to enforce than terms added later.
- 6 **Cap residential and release it with hotel keys.** Azur beds counted by mid-2015 were 51% villas or hotel residence, against 32% non-hotel beds in the 2008 plans. Link each residential release to rooms opened.

Hotel investors, lenders and operators

- 10 **Underwrite the airport before the beach.** El Gouna, near Hurghada, whose airport handled 9.6 million passengers in 2024, ran at 72% in FY2023. Djerba-Zarzis, with its own airport, ran at 1.56 times Tunisia's average in 2022.
- 11 **Limit single-tour-operator exposure.** About 45 Tunisian hotels worked only with Thomas Cook when it failed in September 2019, according to the tourism minister.
- 12 **Watch debt before the shock.** Tunisia's hotel debt was already 57.5% classified in 2014, before arrivals fell 25% in 2015.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

State resort programme: a coastal tourism programme in which a state body designates the land and promotes development, whoever builds the hotels. **Station:** a planned integrated resort with its own infrastructure. **Beds, rooms, keys:** as published; a key is a lettable room, suite or villa. **First published target:** the earliest station-level figure we found. **Delivered:** beds, rooms or units reported as operating or completed at the stated date.

Delivered-to-planned ratio: delivered divided by first published target. **Developer change:** a change of master developer or of its controlling shareholder. **Classified loans:** loans classified as non-performing by Tunisian banks.

Method

Sources are current in 2026. Moroccan station counts come mainly from the business press, which conflicts from year to year; we show ranges, name the source and use the more conservative figure when one is needed. The Cour des comptes report on SMIT is cited through Médias24 and TelQuel. Ratios, shares, per-unit values and growth rates are Heirstone analysis using only the inputs shown. The Heirstone outcome typology and Station Test are analytical tools, not official classifications. Local currencies are converted at World Bank official exchange rates, period averages (PA.NUS.FCRF), for the year of each figure:

CURRENCY PER US\$	RATES USED (YEAR)
MAD	7.75 (2008); 8.63 (2012); 8.41 (2014); 9.62 (2019); 10.16 (2022); 10.13 (2023); 9.94 (2024)
TND	1.43 (2010); 1.70 (2014); 2.42 (2017); 2.93 (2019); 3.11 (2023)
EUR	0.68 (2008); 0.89 (2019)
MUR CHF	MUR 45.27 (2023); CHF 0.88 (2024)

Use of this report

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